

INSURANCE LAW

TOPIC 1: INTRODUCTION TO INSURANCE LAW

The concept of insurance is often understood as a form of risk management. In commercial terms it is basically an investment whereby the insured can restore his/her financial position after a loss. The concept of insurance entails the pooling of funds by insured persons/entities known as the “**Insured**” to pay for the losses that may incur. The pool is managed by the “**Insurer**” (the insurance company). The insurer and the insured enter a contract where the insurer undertakes to indemnify the insured if the

insured suffers a loss for a risk that was insured. To "indemnify" means to make whole again, or to be reinstated to the position that one was in, to the extent possible, prior to the happening of a specified event or peril. The Insured in exchange pays a price called a **premium** which is dependent on the frequency and severity of the event that is insured against known as the **risk**.

RISK

In Insurance, Risk is a probable event that may occur and result into a loss. Computation of the premium is based on the likelihood of the event occurring. The calculations imply that the risk should be insurable in a technical sense, meaning that it should be small, predictable, and independent of the insured individuals' (hidden) actions and characteristics. Therefore, the risk/event insured must be **fortuitous**. This means that the event that is insured should be unforeseeable or accidental. However, it should be noted that in Life insurance, death is certain. The fortuity in this instance lies in the uncertainty of when the death may occur. A risk should therefore be insurable. An insurable risk represents a future, uncertain event over which the insured has no control. In fact, life insurance is generally not considered to be indemnity insurance, but rather **"contingent"** **insurance** (i.e., a claim arises on the occurrence of a specified event). In this regard as shall be discussed further, losses that are intended are not covered under the insurance contract.

There are various types of risks, and these depend on the nature of the activity the insured is engaged in. The primary risks to an automobile user are basically a collision, theft, or any form of damage to the automobile or the owner. The primary health risk to an individual is illness. The nature of risk may be direct as seen in these two examples. However, there are some risks that are not as easily predictable. For instance, prior to the September 11, 2001, terrorist attack on the world trade center, what were the chances that anyone could foresee that some individuals would hijack a plane and crash land it into a building? What were the chances that the Iceland eruption would occur and disrupt business in almost the whole of Europe?

The concept of insurance is then not absolute coverage for loss. But as it shall be seen in later chapters, it entails coverage and compensation for risks that are agreed upon by the parties to the insurance contract.

RISK TRANSFER

Ordinarily, the risk lies with the insured. Where the insured contracts the insurer to assume the insured's risk, the insured basically transfers its risk to the insurer. For instance, if Brad Pitt, a quite healthy man who also acknowledges that there is a risk that he may fall sick in the future decides to contract AIG insurance company to avail him with health insurance, then he has essentially spread the risk to fall sick in the future to AIG the insurance company. Therefore, the insurance contract basically transfers the risk from the insured to the insurer to cover the expenses that Brad may incur in the future for the time that the insurance contract covers.

RISK AVERSION.

Conceptually, Risk aversion is the willingness of a person to avoid risk. A risk averse person if faced with two opportunities, with similar expected returns or benefits shall prefer the option with the less risk. Risk aversion has a profound effect on how individuals' approach or determine how to invest or behave in society. The more risk adverse people tend to avoid the high-risk opportunities and therefore lose out on the high rewards. Insurance is therefore important to enable individuals to take up high risk ventures or activity.

Society should generally be risk averse to ensure that its individuals to opt for insurance as a tool to transfer such risk. People who are less risk averse are also

less likely to get

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insurance. For instance, if Brad, the healthy guy believes that he is too healthy to suffer any illness then he may opt not to get health insurance.

MORAL HAZARD

As discussed earlier, when one takes out a contract of insurance, he or she spreads the risk to the insurer. Then what? Ideally, the insurer will expect the insured to act more carefully to avoid the risks that may occur to him or her. However, there is a tendency of people with insurance to be less careful than those without insurance. This is referred to as moral hazard. It essentially is where a person/entity that is insured behaves differently than it would behave if it were not insured.

For instance, if Brad and his friend Matt each bought a car. Brad decided to insure his car comprehensively (full coverage) and Matt decides not to have insurance at all. Chances are that both Brad and Matt shall not have similar behavior towards their cars. Brad may be more careless about his car because that the insurance company shall compensate him for any loss. Matt on the other hand, should be more careful or ought to be more careful since he has no insurance.

To address this, Insurers usually place an extra cost on the insured to compensate for such behavioral change. This could be in form of Co-payments, deductibles, etc. In this regard, the insurance may decide to cover 80% of the loss and spread the 20% to the insured in the bid to ensure that there is some risk that may motivate the insured to be more careful.

Moral hazard is a major basis upon which challengers of universal health coverage have based their argument. They believe that if implemented, people shall be making more visits to the hospitals than they should be for even the slightest change in their health. In fact, their argument is that Universal health insurance is a moral hazard itself which shall eventually result into a big burden to the hospitals and the government. The advocates for universal health care call this a myth.

The question is, imagine you have health insurance, and you get a toothache. Would you go to the dentist to check it out at the cost of Uganda Shillings 800,000/= . Probably yes because the insurance company is paying. Now imagine that you have no insurance, but you have a toothache. Would you still have the same enthusiasm to visit the dentist?

SELF-INSURANCE

Where a person/entity decides not to take out insurance then he or she does not transfer his risk. Therefore, he or she is deemed to be self-insured. It means that in

the event of a loss the person shall be liable for the effects thereto. In certain instances, a person or an



entity may decide to get no insurance and self-insure. The individual or entity in this instance shall set aside some money to compensate for the potential future loss.

Self-insurance is possible for any insurable risk. An insurable risk is often predictable and measurable enough to be able to estimate the amount that needs to be set aside to pay for future uncertain losses. In fact, what ideally happens is a hybrid of both self-insurance and commercial insurance. Very often the insurance companies do not engage in full coverage and therefore prefer to leave some burden on the insured as discussed under moral hazard. The 20% reflects some level of self-insurance.

The Government often engages in self-insurance, and this is made possible because of the breadth of its operations and the fact that it has enough funds to pay off claims. For instance, this could be derived from the fact that whereas it is compulsory for all motor vehicles operated to have motor vehicle insurance, this does not apply to government owned vehicles. Therefore, it could be contended that in the operation of such uninsured government owned vehicles is a manifestation of readiness to assume the risk sustain the loss that may arise from there.

INSURANCE AND SOCIAL RESPONSIBILITY

Insurance can have various effects on society through the way that it changes who bears the cost of losses and damage. The role of Insurance in society has been quite debatable. On one hand it has been averred that insurance has a positive impact on society in the sense that it ensures continuous investment (this includes the operation of the society) in society by assuming the risks involved. With the assumption of the risk and the losses thereto, the different elements of society such as business, health, sports are operational as the element of risk is minimized or eliminated.

It has also been argued that insurance can/may help societies and individuals prepare for catastrophes and mitigate the effects of catastrophes on both households and societies. In fact, the role of insurance in reinstating society after catastrophes is highly noted. For instance, insurance compensations made after the 2001, September 11 terrorist attacks in New York, the Tsunami floods in New Orleans and currently the Earthquake in Japan. Whereas it is not a guarantee that such catastrophes are covered, it should be noted that where they are covered, Insurance plays a big role in protecting society and reinstating it to the condition prior to such mishap.

However, it has also been argued that insurance has some negative impact on society. The advocates of this argument have based this on moral hazard. It has been argued that due to moral hazard, insurance has a tendency of increasing risk to

society. The rationale

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is that with the existence of insurance, individuals in society tend to become more reckless and therefore neglect the duties of care that they owe other individuals in society and society.

THE REGULATION OF INSURANCE IN UGANDA

The major legislation regulating insurance in Uganda is the **INSURANCE ACT CAP 213** (herein referred to as “the act”). Essentially, insurers are required to be body corporates operating as a company, cooperative insurance society or mutual insurance companies. [See section 4 of the act]. The capital requirement of such companies is stated in provided in section 6 of the act are dependent on the nature of insurance and the registration of the company. The different classes of insurance to be provided are stated in section 5 of the act. The Uganda insurance Commission is the body established to regulate insurance in Uganda pursuant to part II of the act. SEE PART III for the licensing requirements and procedure, PART IV for the conduct and operation of insurance and PART VIII on the intermediaries.

DIFFERENT TYPES OF INSURANCE

There are various types of insurance which are categorized on different grounds. Insurance could also be categorized based on the nature of risk involved, premium paid, the age of the insured's, by geographical location etc. It should however be noted that it is illegal to categorize insurance in a manner that discriminates against certain individuals on the basis of race, gender, age, nationality or tribe.

The nature and subject matter of the risk insured is the major basis of distinction in the type of insurance. Essentially, the common types of insurance include liability insurance, property insurance, third party insurance, life insurance etc. The list of risks and types of insurance that can be provided in Uganda is provided under section 5 of the insurance act.

Below is a table showing some of the different types of insurance and the nature of risks or perils insured against.

TYPE OF INSURANCE	PERILS INSURED AGAINST
1. LIABILITY INSURANCE E: Note this includes Automobile	BODILY INJURY: Damages from un-intentional torts (this includes negligence: automobile, professional negligence, etc.) PROPERTY: losses arising from or caused by

Insurance, property damage and bodily injury	invitees, trespassers, licensees, tenants
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	Also catastrophes such as floods, earthquakes etc.
2. HOMEOWNER'S INSURANCE	Liability, damage to, or destruction of the home, loss of use of home, loss of, or damage to personal property, "defective title"
3. AUTOMOBILE INSURANCE This could either be first party personal or third-party automobile insurance.	First party • Loss and damage to the insured vehicle. Third party • Loss and damage to third party or their property
4. BUSINESS INSURANCE E: Commonly referred to as commercial general liability insurance.	Cause of loss (eg fire, explosion, smoke, lightning) Damage caused to the business buildings fixtures, furniture, and equipment by a covered peril. Debris removal, personal effects etc. Loss of business due to the event
5. LIFE INSURANCE	Death, burial costs, loans etc.
6. HEALTH INSURANCE	illnesses

COMPULSORY INSURANCE

Some forms of insurance are compulsory. In Uganda for instance, automobile insurance is compulsory and such compulsion is mandated and regulated under the MOTOR VEHICLE INSURANCE (Third Party Risks) ACT, CAP 214. Section 2 mandates all vehicles operated to have motor vehicle insurance except those that are owned by the government of Uganda. Section 2(3) of the same act makes it criminal and establishes a fine not exceeding 100,000 or imprisonment for two years or both.

TOPIC 2: THE INSURANCE RELATIONSHIP

As earlier stated in the introduction, the insurance contract is a **Contract of Indemnity**. The parties involved are the insured and the insured. The insurance contract is governed by the basic principles of the law of contract as shall be discussed further. However, there are some contracts of indemnity that are essentially like insurance but are not deemed to be insurance which arouse a lot of scrutiny and

debate. For instance, the guarantee or warranty contract. A guarantee or warranty contract is essentially a promise from the guarantor/warrantor to the guarantee or warrantee that the former shall indemnify or compensate the latter if there is a loss concerning a certain subject matter. Contracts of warranty are often given by the manufacturer for products purchased. However, these



are not insurance contracts and because of the complexity of insurance it is important to fully comprehend the elements that establish the insurance relationship.

THE INSURANCE RELATIONSHIP

There are various elements that could establish the existence of an insurance relationship. However, the most important include:

1. Policy
2. The legal entitlement
3. Provision of money's worth
4. Insurable interest
5. Uncertainty/fortuity
6. Control
7. Premium

First, there must be a binding contract which as noted earlier is called the insurance policy. In the contract, the insurer must be legally bound to compensate the other party, hence the legal entitlement. It should be noted that such right to legal entitlement should be clearly stated entitling the insured to money or money's worth if a loss occurs. In the case of **MEDICAL DEFENCE UNION V. DEPARTMENT OF TRADE, [1979] 2 ALL ER**

421, the plaintiffs, a company whose members were practicing doctors and dentists

whose business primarily consisted of conducting legal proceedings on behalf of the members and indemnifying them against claims made against them for damages, had a clause in their constitution that provided that the members had no right to such benefits but would request them from the union. The court observed that the union was not carrying on the business of insurance and that the contract with its members was not an insurance contract because to be such, the contract must provide for the right of the insured to money or money's worth at the happening of an event. The court further observed that it is not sufficient to say that the provision of services is enough to constitute insurance.

It should be noted that the insurance contract shall be established where the money's worth is provided as a right to the insured in form of valuable services such as a right to advice or a right to have an item to be replaced or repaired. In **DEPARTMENT OF TRADE AND INDUSTRY V. St CHRISTOPHER MOTORISTS ASSOCIATION LTD,**

[1974] 1 ALL ER 395, where the defendant undertook to provide its members

with

chauffeur services should they be disqualified for driving due to being convicted of driving while intoxicated, the court observed that this constituted insurance.

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The insured must have an *insurable interest* in the property or life or liability that is the subject of the insurance contract. It should also be noted that happening of the event that arises from the loss insured should be uncertain or fortuitous. Another element is that of control. Essentially, the event insured against should be outside the control of the party assuming the risk. If the party assuming the risk has control over the event, then it shall not be an insurance contract but rather be deemed a guaranty / warranty. For instance, where a manufacturer of a product promises the purchaser that they shall repair or replace the product if it has a defect, the manufacturer has control over the product and is therefore not an insurer but simply a guarantor.

The insurance contract should also have a premium which is consideration for the assumption of the risk, and such should be paid for that purpose. Please see **HAMPTON**

V. TOXTETH COOPERATIVE SOCIETY [1915] 1 CH. 721, where the court observed that no insurance business can be carried on in the absence of a clearly stipulated premium and policy.

TOPIC 3: THE INSURANCE CONTRACT

FORMATION AND FORMALITIES

The formation of an insurance contract involves several key elements and formalities. The summary overview is provided below:

- **Offer and Acceptance:** Like any contract, an insurance contract starts with an offer from the policyholder (the insured) and acceptance by the insurance company (insurer). The offer typically comes in the form of a completed insurance application.
- **Consideration:** Both parties must provide something of value, known as consideration. The insured pays premiums in exchange for the insurer's promise to provide coverage.
- **Legal Capacity:** The parties entering the contract must have legal capacity, meaning they are of sound mind and are legally eligible to enter into contracts. For example, minors may not be able to purchase insurance on their own.

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- **Legal Purpose:** The contract must have a legal purpose. Insurance contracts are typically designed to provide financial protection against specific risks.



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- **Offer and Acceptance Period:** The acceptance of the offer by the insurer should be within a reasonable time frame. Once accepted, the contract becomes binding.
 - **Policy Document:** A formal insurance policy document is created outlining the terms and conditions of coverage. This document should be provided to the insured.
 - **Premium Payment:** The insured is required to make premium payments as agreed upon in the contract. Failure to pay premiums can lead to the policy being canceled.
 - **Conditional Clauses:** Insurance contracts often contain various conditions, such as exclusions and limitations, which specify when coverage applies and when it doesn't.
 - **Utmost Good Faith:** Both parties are expected to act in good faith throughout the contract. The insured should provide accurate and complete information in the application, and the insurer should be transparent about the terms and conditions.

INTRODUCTION

The formation of the insurance contract generally commences with the making of an offer which must be accepted. In practice, the offer is made by the insured by means of completing a standard proposal form. However, in some instances, the insurer makes a standard offer to the public or a group of targeted potential clients. The parties then agree upon the material terms which are essential matters such as the amount of premium, the nature and subject matter of the risk insured, the duration of the risk, etc. However, it should be noted that the absent adjustment of such terms by the proposer/insured, he/she is deemed to have accepted the standard terms of the insurance policy as provided by the insurer. Where the insured proposes terms of insurance to the insurer, or vice versa, the insurer may accept or as often happens send a counteroffer. In practice for instance, there is no binding offer of insurance until the premium is in fact paid. This constitutes a counteroffer which the insured may reject but the insurer may not revoke unless

there is a change in circumstances.

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In the case of **CANNING V. FARQUHAR (1886) 16 QBD 727**, where a proposal for life insurance was accepted on December 14, on the terms that no insurance was to take effect until the first premium was paid. The premium was tendered on January 9, but four days previously, the insured had fallen and suffered serious injuries from which he subsequently died. The court observed that the insurer was not bound.

See also: **JUBILEE INSURANCE COMPANY LTD V. FIFI TRANSPORTERS LTD**
HCCS NO. 81/2008

It should be noted that if there is a change in the risk between the proposal and acceptance, then such change should be disclosed to the insurer (this shall be discussed further under the duty of disclosure and utmost good faith)

Insurance contracts are typically considered to be unilateral contracts. A unilateral contract is one in which only one party makes a legally binding promise.

In the case of an insurance contract: The insurer (insurance company) makes a promise to pay benefits or provide coverage in exchange for the payment of premiums by the insured (policyholder). The insured is not legally obligated to do anything beyond paying premiums. They are not required to file a claim or take any specific action unless they want to access the benefits of the insurance policy.

THE COVER NOTE AND THE INSURANCE CONTRACT

A cover note is a temporary document issued by an insurance company to provide immediate proof of insurance coverage while the full insurance policy is being prepared and processed. It serves as a temporary insurance certificate and is often issued on the spot when a policyholder purchases insurance. Cover notes are typically valid for a short period, such as 15 to 30 days, during which the insurance company finalizes the terms and conditions of the insurance policy. It includes basic information about the insured, coverage limits, and the effective dates of coverage.

SEE

- **PYARALI KUPERJI V. THE BRITISH INDIA GENERAL INSURANCE CO. LTD [1956] 7 ULR 194**
- **MIREMBE WIRE PRODUCTS LTD V. GOLD STAR INSURANCE CO. CIVIL SUIT NO. 54/2002**
- **RE COLEMAN'S DEPOSITORY LTD & HEALTH ASSURANCE**

ASSOCIATION [1907] 2
KB 798

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The major features of the insurance contract include the following:

1. THE DECLARATIONS

These are statements that identify the parties, the basis upon which the contract is issued, information about the loss and exposure thereto, period of coverage and date of commencement, and the premium to be paid.

2. THE INSURING AGREEMENT

This provides the perils insured.

3. EXCLUSIONS

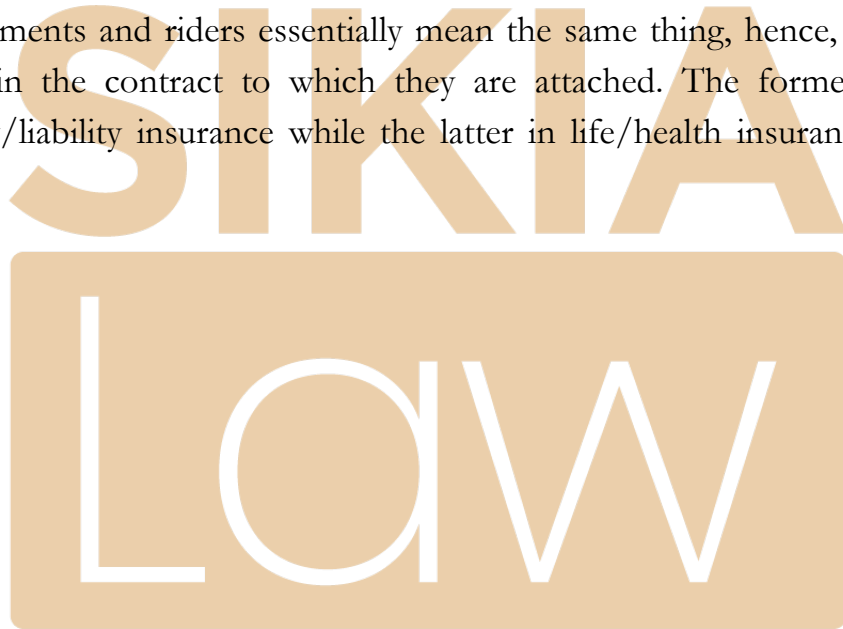
This provides the items excluded: locations, perils, property, losses etc

4. CONDITIONS

Includes: NOTICE and PROOF of loss, Suspension of coverage, cooperation between parties, examination, and investigations

5. ENDORSEMENTS AND RIDERS

Endorsements and riders essentially mean the same thing, hence, they make a change in the contract to which they are attached. The former is used in property/liability insurance while the latter in life/health insurance.



TOPIC 4:
INSURABLE INTEREST

Insurable interest is the most important feature of the insurance contract. Essentially it means that the party to the insurance policy who is the insured must have a particular relationship with the subject matter of the insurance contract to which

he/she is exposed.

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The absence of this relationship renders the contract illegal, void or simply unenforceable. The insurable interest varies depending on the nature of the risk and category of insurance. **INSURABLE INTEREST IN PROPERTY INSURANCE**

For an insured to be deemed to have an insurable interest in property insurance contract, he/she must have a proprietary interest in the subject matter in the form of a right to a legal or equitable interest or a right under contract. Persons with contingent interests and beneficiaries of property under a will are not deemed to have an insurable interest.

In **MACAURA V. NORTHERN ASSURANCE COMPANY LTD [1925] AC 619**, the sole

shareholder of a limited company who was also a substantial creditor of the company insured in his own name timber owned by the company. When the timber was destroyed by a fire, he claimed indemnification under the policy. The House of Lords observed that he had no insurable interest in the property owned by his company.

SEE:

- **MARK ROWLANDS LTD V. BERNINI INNS LTD [1986] QB 211**
- **UNITED BUS SERVICE LTD V. THE INDIAN INSURANCE CO. LTD [1969] EA 242**
- **KINYANJUI V. SOUTH INDIAN ASSURANCE COMPANY CO. LTD [1969] EA 160**
- **INSURABLE INTEREST IN LIFE INSURANCE**

The insurable interest in a life insurance is the life of the insured. In the case of **DALBY**

V. INDIA AND LONDON LIFE ASSURANCE CO. [1854] 15 CB 365, the court observed

that the insurable interest MUST exist at the time the policy is effected and need not to continue thereafter. Unlike the insurable interest in property which requires the insurable interest to exist at the commencement and execution of the policy to the occurrence of the loss, the court in DALBY stated that in life insurance the interest should exist at the time of execution of the agreement and need not exist at the occurrence of the death. The consequence of this has led to the treatment of the life insurance policy as an asset that could be used as a security or guarantee.

NOTE: Spouses have an unlimited insurable interest in each other's lives.

SEE
GRIFFINS V. FLEMING [1909] 1 KB 805

WAIVER OF INSURABLE INTEREST

Like most rights in a contract, the requirement of insurable interest may be waived by the parties. It should be noted that the insurable interest is merely implied to exist in the



insurance contract and does not have to be specifically included therein. But the parties are free to waive such a right. The insurable interest was waived in the case of **PRUDENTIAL STAFF UNION v. HALL, [1947] KB 685**, the claimant, an association of employees that insured with an insurer against any loss suffered by any of its members of money held by them as agents or collectors of their employer. Clearly the association had no insurable interest in its member's liabilities, but the court held this to be no bar to the contract of insurance.

In the case of **THOMAS V. NATIONAL FARMERS UNION MUTUAL INSURANCE**

SOCIETY, [1961] 1 WLR 386, the tenant of a farm insured the hay and straw thereon which was destroyed by fire, but after his lease had ended. The policy if it ceased to cover all property which passed from the insured "otherwise by operation of law". The hay and straw had become part of the landlord's property on the expiration of the lease but only by operation of law. Thus, although the tenant no longer had any property interest and therefore insurable interest in the goods, this was by operation of law and the insurer was contractually liable to him.

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TOPIC 5:
THE DUTIES OF UTMOST GOOD FAITH (UBERRIMA FIDES) AND DISCLOSURE

There is a strict requirement for utmost good faith in insurance contracts. In fact, an insurer has the right to avoid a contract of insurance in its entirety if the insured was guilty of fraud, non-disclosure, or misrepresentation before entering the contract. Misrepresentation and non-disclosure are defenses available to the insurer in the avoidance of the insurance contract. The principle of utmost good faith has consequences for both parties. The duty of utmost good faith requires the insured to refrain from making any misrepresentations and disclose all material facts regarding the risk insured against. The same is required of the insurer. The importance of this duty in insurance contracts was observed by the courts in the case of **LONDON GENERAL OMNIBUS CO. V. HOLLOWAY, (1911-13) ALL ER 518**, where it was accentuated that;

“No class of case occurs, to my mind, in which our law regards mere non-disclosure as a ground for invalidating the contract, except in the case of insurance. That is an exception which the law has wisely made in deference to the plain exigencies of this particular and most important class of transaction. The person seeking to insure may fairly be presumed to know all the circumstances which materially affect the risk, and generally is, as to some of them, the only person who has the knowledge. The underwriter whom he asks to take the risk cannot as a rule know, and but rarely has either the time or the material to the formation of his judgment as to the acceptance or rejection of the risk and as to the premium which he ought to require.”

FRAUD IN INSURANCE CONTRACTS

A proposer for insurance is guilty of fraudulent misrepresentation if he knowingly makes a statement that is false, without belief in its truth or recklessly as to whether it is true or false. He is guilty of fraudulent disclosure if he willfully conceals from the insurer any **MATERIAL FACT** that he knows the insurer would wish to be aware of.

SEE: DERRY V. PEEK (1889) 14 APP CAS 337

WHAT AMOUNTS TO MATERIAL FACTS

The breadth of the duty of utmost good faith extends beyond mere statement of facts which the insured knows, but also those which the reasonable person ought to have known and which are in fact material whether he thinks them to be or not. A fact is material for the purposes of both non-disclosure and misrepresentation if it is one that



would influence the judgment of a reasonable or prudent insurer in deciding whether to accept the risk or what premium to charge. In the case of **CONTAINER TRANSPORT INTERNATIONAL INC V. OCEANUS MUTUAL UNDERWRITING ASSOCIATION**

(BERMUDA) LTD (1984) 1 LLOYDS REP. 467, the court observed that the requirement

that a fact must be one which would influence the judgment of a prudent insurer did not mean that an insurer must have acted differently if he had known the fact, but merely that he would have wanted to know of the fact when making his decision; “judgment” was construed as meaning “the formation of an opinion”, not the final decision.

Another test is that of inducement which essentially provides that the insurer must show that had he known the non-disclosed fact, he would not have concluded the contract on the same terms or at all, because if he would have made the contract, the non-disclosure cannot have made the difference. Essentially, it should be shown that had the fact been disclosed, the insurer would have asked further questions which if answered correctly would have prompted it to impose different terms of coverage.

JUBILEE INSURANCE CO LTD V. JOHN SEMATENGO [1965] EA 233

The plaintiff an insurance company filed a suit against the defendant insured for a declaration that the company was entitled to avoid a motor insurance policy issued to him on the grounds that the same was obtained by nondisclosure of material facts and by misrepresentations of facts which were false in some material particular. For the defendant it was submitted that having regard to the provisions of s. 104 (4) of the Traffic Ordinance, 1951, the action was not maintainable in law because no action had been taken nor judgment obtained against the defendant against which the defendant could claim to be indemnified by the plaintiff company. The judge found that the insurance policy was obtained by the nondisclosure of a material fact and by a representation of fact which was false in some particular. The Court held that the purpose and intent of the provisions of s. 104 (4) of the Traffic Ordinance, 1951 is to enable an insurance company to avoid an insurance policy on the ground of nondisclosure of a material fact or misrepresentation of fact which is false in some material particular, regardless of any provisions in the insurance policy;

SEE:

- **DRAKE INSURANCE PLC V. PROVIDENT INSURANCE PLC, [2004] LLOYDS REP IR 247**

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- JOEL V. LAW UNION AND CROWN INSURANCE CO (1908) 2 KB 863

ALTERATION IN DISCLOSED FACTS BEFORE ACCEPTANCE



The duty to disclose facts is not finally fulfilled on the completion of the proposal form but continues up to the final acceptance of the proposal. If in the meantime, the facts disclosed change, the insurer should be informed and failure to do so would render the contract void. In the case of **LOOKER V. LAW UNION AND ROCK INSURANCE CO. LTD, [1928] 1 KB 554**, A proposal for life insurance was accepted upon the condition that

the risk would commence, and the policy would be issued on payment of the first premium. The proposer then became ill. His illness was diagnosed as pneumonia, and he died of it. Three days before his death the company sent a cheque for the first premium and one day before his death the company sent his final acceptance. The cheque was, however, not met. The insurer was permitted to avoid the policy. When the company ultimately accepted the risk, the fact was that the assured was dying. A material change had taken place in the state of his health between the date of the proposal and the final acceptance, which should have been brought to the notice of the insurance company.

BURDEN OF PROOF

It is the burden of proof of the insurer to show that there was a misrepresentation or non-disclosure of a material fact.

SEE

- **STEBBING V. LIVERPOOL AND LONDON GLOBE INSURANCE COMPANY LTD (1916-17) ALL ER Rep 248**

GOOD FAITH ON PART OF THE INSURER

See the case of **BANQUE FIANCIERE DE LA CITE SA V. WESTGATE**

INSURANCE COMPANY LTD, [1991] 2 A.C 249, where the HOL accepted that there was a duty of good faith on the part of the insurer but the breach of which simply entitled the insured to avoidance of the contract and return of premiums and not damages.

MUST ALSO SEE: ALDRICH V. NORWICH UNION LIFE INSURANCE CO. LTD, [2000] LLOYD'S REP IR 1

REMEDIES FOR BREACH OF GOOD FAITH

Generally, where there is a breach of the duty of utmost good faith by the insured, the insurer is entitled to avoid the contract. On the other hand where the insurer breaches the duty of good faith, the contract may be rescinded and hence the

premiums returned to the insured. The rationale for these positions is because the insurance contract was void ab initio since it was based on dishonesty and not what the parties intended.

QUESTION: What happens to the PREMIUM that was paid?



If the insurer discovers that the insured is guilty of fraudulent misrepresentation or disclosure, the law permits the insurer to avoid the contract. However, what happens if the insured has been promptly paying the premium agreed upon, does the insurer keep the premium or does he reimburse it to the insured? If the insurer retains the premium, doesn't that amount to unjust enrichment?

SEE

CHAPMAN AND ORS, ASSIGNEES OF KENNET v. FRASER B R TRIN, 33 GEO 111,

where the court was of the view that in the event of any fraud by the insured, the insurer was entitled to keep the premium.

TOPIC 6: WARRANTIES AND CONDITIONS

The warranty is the most fundamental term of the policy and MUST be incorporated into the policy. It is essentially the promise made by the insured and upon its breach; the insurer is discharged from all liability as from the date of the breach.

The breadth of the discharge of the insurer's obligations was discussed in the case of

BANK OF NORA SCOTIA V. HELLENIC MUTUAL WAR RISK ASSOCIATION

(BERMUDA) LTD, THE GOOD LUCK, [1991] 2 WLR 1279, where the court observed that a breach of warranty in a marine policy automatically discharged the insurer from liability. In this case, an insured ship owner had clearly acted in breach of warranty by taking the ship to a prohibited area. The benefit of the insurance had been assigned to a bank which had lent money to the insured and was a mortgagee of the ship; the insurers had been notified of the assignment, gave an undertaking to advise the bank promptly "if the ship ceases to be insured." Notwithstanding this, the insurers failed to advise the bank until some weeks after it had discovered the breach of warranty and the loss of the ship. At this time the bank decided to make a further advance to the insured which it was held would not have been done had the insurer's complied with the undertaking to advise it promptly. The court in its holding distinguished warranties from conditions and it stated that, a warranty is a condition precedent...and that if a promissory warranty is not complied with, the insurer is discharged from liability as from the date of the breach of warranty, for the simple reason that fulfillment of the condition precedent to the liability or further liability of the insurer.

ALSO in the case of **BEAUCHAMP V. NATIONAL MUTUAL**

INDEMNITY

INSURANCE COMPANY (1937) 3 ALLER 19, a builder who had not previously undertaken any demolition work took out a policy of insurance to cover the demolition of a mill. He was asked in the proposal form “are there any explosives used?” and



answered “no”: and agreed that his answer should form the basis of the contract between himself and the assurer. The policy of insurance contained a condition “the insured shall take reasonable precautions to prevent accidents.” The plaintiff proceeded to demolish the mill, and during such demolition used explosives. Three persons were killed by falling masonry and upon a claim being made under the policy, the insurance company repudiated liability. The court observed that the denial of the use of explosives amounted to a warranty that they would not be used and even if it amounted to a mere description of the risk to be insured, the cause or contributing cause of the accident was the use of explosive and that there had been a change in the risk, for the company insured a non- explosive demolition.

From the above case, it could be seen that the court shall be strict in discharging the insurer from liability where there is breach of a warranty. However, it should be noted that the courts are very cautious when handling the interpretation of warranties in the contract. In this respect, warranties should be clear and unambiguous and where a term in the contract is ambiguous, the court shall interpret the contract “contra proferentum” (hence, against the party that drafts the contract). The leading example is the decision of the House of Lords in the case of **PROVINCIAL INSURANCE COMPANY V. MORGAN (1933) A.C 240**, where coal merchants declared that their lorry would be used for coal, which became the basis of the contract. On the day of the accident, the lorry was also used to carry Forestry Commission timber. However, at the time, the timber had been unloaded and only coal was on-board. The House of Lords held an endorsement on the policy stating that the use was “transportation of own goods in connection with the insured’s own business” did not mean that the vehicle was to be used *exclusively* for the insured’s own goods. On “a strict but reasonable construction” the declaration and the clause only meant that transporting coal was to be the normal use. Transporting other goods would not terminate liability under the policy.

TOPIC 7: ASSIGNMENT IN INSURANCE

Generally, an assignment in law is the complete transfer of the rights to receive the benefits accruing to one of the parties to that contract. For example, if Party A contracts with Party B to sell Party A's car to Party B for \$10, Party A can later assign the benefits of the contract - i.e., the right to be paid \$10 - to Party C. In this scenario, Party A is the **obligee / assignor**, Party B is an **obligor**, and Party C is the **assignee**. Assignments are generally permitted unless there is an express prohibition against the assignment of rights in the contract. Where assignment is thus permitted, the assignor need not consult the other party to the contract. An assignment cannot have any effect on the duties of the other party to the contract, nor can it reduce the possibility of the other party receiving full performance of the

same quality. For assignment to be effective, it must occur in the present.

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No specific language is required to make such an assignment, but the assignor must make some clear statement of intent to assign clearly identified contractual rights to the assignee. A promise to assign in the future has no legal effect. A cause of action for breach of the contract on the part of the obligor lies with the assignee, which will hold the exclusive right to commence a cause of action for any failure to perform or defective performance. Because the assignee substitutes the assignor, the obligor can raise any defense to the contract that the obligor could have raised against the assignor.

When looking at Assignment in Insurance, the study is in three contexts; to wit; the effect of assignment by the insured of the subject matter of the insurance policy, the assignment of the benefit of a contract of insurance and the assignment of the contract of insurance itself.

a. Assignment of the subject matter of the insurance policy

This mainly concerns insurance of property when that property is sold or disposed of by the insured. Generally, the assignment of a subject matter of an insurance policy cannot operate to assign the insurance. Once the contract for the sale of property or land is made, the purchaser obtains an equitable interest in the property although the vendor retains the legal estate. At this stage they both clearly have an insurable interest. However, upon the completion of the purchase and therefore the passing of title, the legal estate vests in the purchaser and at this point, the vendor ceases to have an insurable interest. If the property is therefore damaged at this point, the vendor may not recover anything for this reason. The purchaser on the other hand is not the insured under the policy and therefore not party to the agreement between the insurer and the insured/vendor. However, it should be noted that if the policy allows assignment of the rights of the insured, then such shall be the case.

In **RAYNER v. PRESTON (1881) 18 Ch D 1**, the plaintiffs purchased from the defendants a messuage and workshops. Between the date of the contract and the time fixed for completion the buildings purchased were damaged by fire. The vendors had, before the contract, insured the buildings against fire, but there was not in the contract any mention of this fact, or any mention of the policy. The plaintiffs brought an action to establish their right to a sum received by the vendors from the insurance office, or to have it applied in or towards reinstating the buildings injured. The court below decided against their claim, and from this the plaintiffs appealed. It was contended by the appellants that they were entitled to the money. The court of appeal denied the plaintiffs claim holding that the insurance contract was merely and that the parties were simply parties to a contract of vendor and purchaser and not trustee and beneficiary and therefore, the contract would not pass anything in respect

of the moneys. The court emphasized that the contract of insurance is a mere personal contract for the payment of money on the happening of certain conditions. It is not a contract which runs with the land. If so, upon the completion of the purchase, there ought to be a decree that the policy be handed over. But that is not



the law. It is a mere personal contract, and, unless the personal contract is assigned, there can be no suit of action maintained upon it, except between the original parties to it.

b. Assignment of the benefit

Since the subject matter of the policy alone does not assign any benefit under the policy to the assignee, the next question would be whether is possible to assign the benefit itself. By benefit here, we mean the benefits payable under the policy. The benefit can be assigned. It should be noted that the benefit to the policy is a *chose in action* which though is intangible, could be assigned. However, such assignment should be expressly stated. In this situation the insured is simply saying that the proceeds from any claim he has or may have to go to a third party. It should however be noted that the assignee is only entitled to that which the assignor is entitled to. An example of this is life insurance.

c. Assignment of the policy

What about the policy itself? It should be noted that all policies are regarded as personal to the insured and any assignment of them requires the consent of the insurer. The rationale is that the premiums are based on the computation based on the measure of the risk the insured may expose the insurer to. Therefore, it can be averred that the policy for a policy to be assigned, the insurer's consent must be sought and if granted, often, such shall amount to the creation of a new contract/policy or a novation of the assigned contract/policy.

SEE **PETERS V. GENERAL ACCIDENT FIRE AND LIFE ASSURANCE CORP LTD, [1938] 2 ALL ER 267**

In this case, the vendor of a motor car insured by the defendants handed over the insurance policy with the car to the purchaser. The policy contained the usual clause extending the cover to any person driving with the consent or permission of the insured. The plaintiff, who had been injured by the car after the sale had been completed, obtained a judgment against the purchaser, and in the present action sought to recover the damages he had been awarded from the present defendants under the provisions of the Road Traffic Act. The court observed that when the vendor sold the car, the insurance policy automatically lapsed and therefore at the time of the accident, the purchaser could not be said to be driving the car by the order or with the permission of the vendor, as the car was then the purchaser's own property. The insured is not entitled to assign his policy to a third party. An insurance policy is a contract of personal indemnity, and the insurers cannot be compelled to accept responsibility in respect of a third party who may be quite unknown to them.



TOPIC 8: INSURANCE INTERMEDIARIES

In most insurance transactions, there is an intermediary, usually an insurance agent or broker, between the buyer and the insurer. In commercial property-casualty insurance markets for instance, the intermediary plays the role of “market

maker,” helping buyers to identify their coverage and risk management needs and matching buyers with



appropriate insurers. The role of the intermediary is to scan the market, match buyers with insurers who have the skill, capacity, risk appetite, and financial strength to underwrite the risk, and then help their client select from competing offers. Price is important but is only one of several criteria that buyers consider in deciding upon the insurer or insurers that provide their coverage. Also important are the breadth of coverage offered by competing insurers, the risk management services provided, the insurer's reputation for claims settlement and financial strength, and other factors.

The relationship between the insurer and the intermediaries is basically an agency relationship and is therefore governed by the principles of the agency. Basically, an agency is a relationship when a person, called the agent, is authorized to act on behalf of another (called the principal) to create a legal relationship with a third party. The FUNDAMENTAL element of the law of an agency is that the AGENT must have the authority to act on behalf of the principal. In this respect, the principal is bound by any acts of his agent within the latter's actual, apparent (or ostensible) or usual authority and by an unauthorized act which the principal ratifies.

ACTUAL AUTHORITY is what the agent is expressly authorized to do by the principal insurance company. Authority may however be implied. **IMPLIED AUTHORITY** arises where in the circumstances, it must be the position that the agent had actual authority, but it was never conferred on him. For instance, if an Insurer gives his agent cover notes, it impliedly authorizes him to effect temporary binding contracts. [See notes on Cover note above]. **APPARENT AUTHORITY** arises where the principal, by words or by conduct holds out his agent as having particular authority. The essence of apparent authority is the representation made by the principal to the third party and it matters not what the agent says or whether he/she is acting fraudulently. **RATIFICATION** is the act of validating an act by an agent that would otherwise not be valid due to the absence of authority provided that the agent was purporting to act as such, and the principal was in existence and identifiable by the parties. The effect of ratification is that it dates back to the time of the original act of the agent.

IMPUTING THE AGENT'S KNOWLEDGE

Generally, the law shall impute the agent's knowledge upon the Insurer. This often arises where the insurer alleges that the insured did not provide material facts and the latter claims that he/she did provide them to the insurer's agent. The Insurer is deemed to know what the agent knows. In **WOOLLCOTT V. EXCESS INSURANCE CO. [1979] 1 LLOYDS REP 231**, the court generally observed that the agent's knowledge shall be imputed to the insurer because he will have been held out as having authority to receive it.

SEE ALSO **KENINDIA ASSURANCE CO LTD V ALPHA KNITS LTD AND ANOTHER (2003) 2 EA 512**

The first respondent had insured its factory against fire with the appellant. The policy had been issued through the second respondent as broker. The factory was destroyed by fire and the resulting loss was assessed at KShs 162 855 227. The appellant agreed to pay for the loss and with the consent in writing of the first respondent paid KShs 155 625 577 to Kenya Commercial Bank which had a financial interest in the factory. The balance of KShs 7 229 650 was paid by the appellant to the second respondent, who used it to offset a liability it had with the first respondent. This payment was made pursuant to a discharge voucher which the first respondent had signed, acknowledging receipt of the money which was to be collected by its brokers (that is, the second respondent). The appellant issued the payment to the second respondent without the consent of the first respondent. The first respondent demanded payment of the balance from the appellant, arguing that it had not received the money, and instituted action in the High Court to recover the KShs 7 229 650. The appellant filed a defense arguing that payment was made to the second respondent pursuant to a course of business that had developed between the parties. The first respondent applied to strike out the defense on the ground that payment to the second respondent contravened provisions of section 105 of the Insurance Companies Act (TOPIC 487). The application was allowed and the defense was struck out. The appellant appealed to the Court of Appeal.

The Court Held (Per Kwach JA) – Pursuant to section 105 of the Insurance Companies Act, even if the first respondent owed the appellant any money on account of premiums or other debt, the appellant could not deduct it from any amount due to the first respondent under the claim except with the first respondent's express consent. The payment to the second respondent by the appellant was clearly illegal because it was expressly prohibited by statute. Such defenses as implied authority, course of dealing or that the first respondents had represented the second respondent as its agent for purposes of receiving the money due to it arising from the claim, were patently bogus and were properly rejected by the High Court Judge.

TOPIC 9: MAKING AN INSURANCE CLAIM

When a loss occurs, the insured has to make a claim for indemnification within a reasonable time absent any provision in the policy that specifies a time frame in which a claim ought to be made. The first basic obligation of the insured upon the occurrence of a loss is to give NOTICE of the loss to the insurer. It should be noted that oral notice is sufficient unless the policy provides otherwise. It should be noted that where the time frame for notice has been stated in the policy, the contravention of this condition and failure to comply will entitle the insurer to avoid liability. In the case of **CASSEL V. LANCASHIRE & YORKSHIRE ACCIDENT INSURANCE COMPANY (1885) 1 TLR**

495; where an accident policy required notice within 14 days. it was not until 8 months

after an accident that the insured became aware that he had been injured as a result of it, and then he gave the notice, but it was held that the insurer was not liable since the insured had not given the insurer notice within the required time frame.

The Notice is essentially informal but may take a certain standard format if provided for by the insurer in the policy. The standard format often includes the requirement for the insured to state particulars of the loss. In the absence of such a requirement, the insured shall prove their loss by other means discussed later in the notes.

In addition to the giving of notice, there is a need for further cooperation by the insured. This is often stated as a condition in the policy which is strictly enforced to enable the insurer to investigate the validity of the insured's claim. Failure to further cooperate may enable the insurer to avoid liability. In the case of **LONDON GUARANTEE Co V FEEARNLEY (1880) 5 App Cas. 911**, a fidelity policy taken out by an employer covered him against the risk of embezzlement by an employee. In the policy, there was a condition precedent that provided that if a claim was made, the insured should prosecute the employee concerned if the insurer so required. Following a particular claim, the insured refused to comply with such a request and it was held that the insurer was thereby entitled to avoid liability.

FRAUDULENT CLAIMS

The duty of utmost good faith clearly survives beyond the time of effecting the policy. A claim is fraudulent if it can be shown that the insured intended to defraud the insurer or put forward false evidence when in fact there was no loss. A fraudulent claim will lead

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the policy to becoming void and all benefits being voided regardless of whether such is expressly stated in the policy or not. In the case of **GALLOWAY V. ROYAL GUARDIAN ROYAL EXCHANGE (UK) LTD**, the claimant claimed losses following a burglary. The amount was probably a fair estimation of his losses following a burglary, but he claimed a computer that had not been in fact lost, and the receipt for its purchase had been forged. He signed a declaration that the particulars given on the claim were true and complete. Despite being convicted of fraud, the claimant sued the insurers who rejected it. The court of appeals held that although there was no express clause in the policy barring all recovery in the event of a fraudulent claim, the policy would be treated as if there were such a clause in the policy barring all recovery in the event of a fraudulent claim the policy will be treated as if there was such a clause.

PROOF OF LOSS

Usually and as a matter of prudence the insurer shall require the insured to furnish evidence of the loss. This is different from the particulars of the loss that are given in the notice. The proof of loss requires documentary proof of the loss. It should be noted that the furnishing of the evidence of loss is not a guarantee that such shall be covered by the policy. The Insurer may dispute the loss and the matter may be litigated. It should however be noted that in the event the matter is litigated, the Burden of proof lies on the insured.

MEASURING THE LOSS

It is imperative for the student to first understand when the Insurer's obligation to indemnify the insured or pay a claim commences. You should keep in mind that legal logic shall dictate that it is the time between the occurrence of the loss and the time limit under the statute of limitation. The insurer's right to indemnity depends on the nature of the insurance. Under liability insurance for instance, the insured's right to indemnity does not arise until liability of the insured is established whether that is by judgment, arbitration or agreement. Under property the right to indemnity shall arise after the loss to the property.

When computing the loss, the insured shall recover the value at the time of the loss and not the value of at the date of the commencement of the policy. However, it should be noted that the basic principle of indemnity is basically contractual and can therefore be contractually varied in the policy. In policies for goods or property for instance, the parties may agree as to whether to undertake to pay the replacement value or the market value. There is no general principle dictating

the market value or cost of reinstating the loss. It is a question of fact.

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However, it should be noted that regardless of the agreement between the parties, the Insured is entitled to indemnity against the insurer for the amount of the loss and no more as it was stressed in the case of **LEPPARD V EXCESS INSURANCE COMPANY [1979] 1 WLR 512**. In this case, the insured had purchased a cottage which was worth 4,500 pounds including the site value, when it was burnt, but which would cost 8000 pounds to rebuild. On the evidence, the insured never intended to live in the cottage. He had purchased it from his in laws solely for resale. It was held therefore that his loss was the market value of the cottage since that is what he lost by not being able to sell.

CONTRIBUTION

Contribution is essentially "the right of an insurer to call upon to call upon others similarly, but not necessarily equally, liable to the same insured to share the cost of an indemnity payment."

ILLUSTRATION:

Assuming a house is insured for Shs 1,000,000,000. It is insured for the same amount with two different insurers. The entire sum insured is therefore Shs 2,000,000,000. A loss occurs that is estimated at Shs 600,000,000. According to the principle of contribution, each insurer is liable for half of the damage (1 million/ 2 million). This would amount to an indemnity payment of Shs 300,000,000 by each insurer. If one insurer pays the full claim, that insurer can make a subsequent claim on the other insurer to pay up the difference based on their contribution to the entire sum. Contribution thus ensures that the principle of indemnity is enforced.

For the principle of contribution to be applicable, two or more policies of indemnity must exist. Another requirement is that each policy must cover the same risk giving rise to the loss. Let's assume that one policy covers fire and malicious damage while another covers fire to the exclusion of malicious damage. If arson is the determined cause of the loss, the insurer covering malicious damage cannot call on the other insurance to help indemnify the insured. This is because the proximate cause of the fire was malice and the other insurer excluded malicious damage. The principle of contribution is related to the principle of indemnity and is based on the premise that no one should gain from a loss.

SUBROGATION

Subrogation refers to an insurance company seeking reimbursement from the person or entity legally responsible for an accident after the insurer has paid out money on behalf of its insured. The general rule is that, after paying your claim, your insurer is "subrogated" to the rights of your policy and can "step into your shoes" to go after

or sue the negligent party on your behalf.

ILLUSTRATION



Assuming, X and Y are involved in a car accident, and it is clearly not X's fault. X's car is wrecked and his neck and back have been injured. X is covered by his Car insurance for both the damage to his car and his personal injuries, and so he calls his insurance company and they pay all of his expenses relating to the accident. Later, his insurance company, realizing that the other party, Y, who is at fault also has insurance that will cover the damages, seeks out reimbursement from that other insurance company since its insured was actually at fault for the accident. This is what is referred to as subrogation.

Generally, your insurer will have you sign a subrogation release that assigns your right of recovery against the person responsible for your loss to them. Insurers may not decline settling your claim until they get paid by the person at fault. In fact, subrogation usually occurs sometime after the original claim is settled.

SALVAGE

Generally, an item is deemed "salvaged" when the insurer determines that the repair or replacement cost is in excess of approximately of its market value at the time of the accident or theft. Thresholds depend on the determination by the insurance loss adjuster and valuer but often range between 50% and 95% of the vehicle's value. Essentially, such an item once destroyed beyond the thresholds shall be replaced by the insurer rather than be repaired.

ABANDONMENT

Abandonment, in law, is the relinquishment or renunciation of an interest, claim, privilege, possession or right, especially with the intent of never again resuming or reasserting it. Such intentional action may take the form of discontinuance or a waiver. A clause in a property insurance contract that, under certain circumstances, permits the property owner to abandon lost or damaged property and still claim a full settlement amount. If the insured party's property cannot be recovered, or the cost to recover or repair it is more than its total value, it can be abandoned, and the insured party is entitled to a full settlement amount. For instance in Marine Insurance, if the boat/ship capsizes, the owner of the boat or ship may abandon it and still claim and receive full coverage from the insurer provided that the cause of the loss (capsizing) is covered under the policy.



TOPIC 12: REINSURANCE

Reinsurance is insurance that is purchased by an insurance company (*insurer*) from another insurance company (*reinsurer*) as a means of risk management. The main function of purchasing reinsurance is to transfer risk from the *insurer* to the *reinsurer*. The *reinsurer* and the *insurer* enter into a reinsurance agreement which details the conditions upon which the *reinsurer* would pay the *insurer's* losses (in terms of *excess of loss* or *proportional to loss*). The *reinsurer* is paid a reinsurance premium by the *insurer*.

ILLUSTRATION

Assume an *insurer* sells 1000 policies, each with a Shs 1 million policy limit. Theoretically, the *insurer* could lose Shs 1 million on each policy – totaling up to Shs

1 billion. It may be

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better to pass some risk to a reinsurance company (*reinsurer*) as this will minimize the *insurer's* risk. Reinsurance practically occurs when multiple insurance companies share risk by purchasing insurance policies from other insurers to limit the total loss the original insurer would experience in case of disaster. By spreading risk, an individual insurance company can take on clients whose coverage would be too great of a burden for the single insurance company to handle alone. When reinsurance occurs, the premium paid by the insured is typically shared by all of the insurance companies involved.

There are two basic methods of reinsurance:

1. Facultative Reinsurance
2. Treaty Reinsurance

FACULTATIVE REINSURANCE

Facultative reinsurance is a form of reinsurance in which a contract is negotiated for a specific insurance policy. This type of reinsurance is purchased when a policy is unusual or large and the original insurer is concerned about the liability risks. The policyholder is not informed that reinsurance has been taken out, in contrast with coinsurance, in which multiple insurers take on the risk of a policy together.

TREATY REINSURANCE

Treaty method of reinsurance means there is an agreement between the Reinsurer and direct company sometimes called ceding company or reinsured undertakes or agrees to cede and the reinsurer agrees to accept all insurances offered within the limit of the treaty. The treaty arrangement can be on any of the following:-

Quota Share: Under this type of treaty, every business is shared on agreed proportion and the ceding company cannot alone retain the business even if he has the capacity to retain the business.

Surplus: the direct company only places on the treaty excess of business that are above his retention. The direct company's retention is referred to as a line while the treaty capacity is a multiple of that line.

Excess of Loss: An insurer decides the maximum amount he is prepared to bear in the event of loss and buys reinsurance under a treaty that will make the reinsurer responsible for the losses in excess of amount that are above the deductible of the ceding company. This is usually arranged in layers.

Stop Loss or Excess of Loss Ratio: This is for academic purposes only as we do not

have

any treaty arranged on this basis. This is a variation of excess of loss whereby the loss ratio of the ceding company on account say fire insurance is stopped at an agreed

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percentage and if the loss ratio exceeds the agreed percentage the reinsurer bears the difference.

CASES TO READ

KARIUKI V IRUNGU [2004] 2 EA 108

The plaintiff instituted suit in his capacity as the legal representative of James Kariuki Njuguna who died following an accident. The respondent was the registered owner of the motor vehicle in which James Kariuki Njuguna was travelling as a passenger at the time of the accident.

After the defendant filed his defence, he applied to the Court for leave to issue a third- party notice against his insurance company. The Court granted leave and issued a third- party notice. After being served with the third-party notice, the third party entered appearance and the respondent filed an application under Order I, rule 18 of the Civil Procedure Rules seeking directions. The third party responded by filing a notice of preliminary objection and also by lodging an application to strike out the third-party notice. The latter application was heard first.

The third party contended that an insurer could only be liable after judgment had been entered against its insured and not before. Further, the issue between the plaintiff and respondent was based on tort whereas the issue between the respondent and third party were based on contract. The third party therefore prayed to strike out of the third-party notice.

The respondent argued that improper procedure had been invoked by the third party who should have waited for the determination of the application for directions before filing its application for striking out.

Held –

1. The subject matter between the third party and respondent was based on contract and was therefore different from the subject matter between the plaintiff and the respondent which was based on tort. The third party was therefore not lawfully joined.
2. Under Order I, rule 18 of the Civil Procedure Rules, a third party is provided with an opportunity at which they can have the third-party notice set aside. Although the application to serve the third-party notice was premature, the same would still be dealt with by the Court.
3. By striking out the third-party notice, the Court does not in any way diminish the

duty imposed on the insurance company under section 10(1) of the Insurance

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(Motor Vehicle Thirty Party Risks) Act, to satisfy the judgment that may be passed against the defendant. Third party notice struck out.

NASSER MOHAMED OMER V PRUDENTIAL ASSURANCE CO LTD [1966] 1 EA 79

The appellant claimed that he was entitled to indemnity from the respondent company against the loss of his motor car, which the trial judge indicated had been driven deliberately into the sea by an employee of the appellant. The insurance policy provided that the respondent would indemnify the appellant against loss or damage to the motor vehicle by accidental collision. The basis of the appellant's claim was that the car accidentally went into the sea and was damaged. It was common ground that the driver was acting in the course of his employment. The trial judge dismissed the suit on the ground that the appellant had failed to prove that the loss or damage was due to accidental collision. On appeal it was argued that there had been a collision, that it had been accidental, and that the damage the car suffered from immersion in salt water was a direct result of the collision.

Held –

(i) the entry of the car into the sea was not an “accidental collision” and accordingly under the terms of the policy the appellant was not entitled to claim any indemnity for the loss of the car;

(ii) the entry of the car into the sea was not accidental as it had been driven deliberately by the employee of the appellant into the sea and the act of the employee must be regarded as the act of the appellant, even though the appellant had no knowledge of it.

Per Spry, J.: “a collision” is an impact importing at least some degree of violence.

Per Newbold, P.: “an accident” is an occurrence which, in relation to the insured, is neither intended nor expected nor so probable a result of a deliberate act that the result must have been foreseen as a probable consequence of the act.

Per Duffus, J.A.: “accidental collision” does not include a collision which happens as a result of an act intentionally designed to cause a collision for the purpose of damaging the vehicle.

CORPORATE INSURANCE CO LTD V WACHIRA [1995-1998] 1 EA 20

The respondent's deceased husband (plaintiff) was the owner of a motor vehicle insured by the appellant. While the vehicle was at a garage for repairs, an apprentice took the vehicle out on a road test and crashed. The plaintiff submitted a claim to be indemnified for the loss but this was rejected by the appellant which disclaimed

liability.

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The plaintiff filed suit against the appellant notwithstanding that the insurance policy contained an arbitration clause and no such reference to arbitration had been made. The plaintiff died and was substituted in the suit by his wife (respondent).

The appellant entered appearance and filed a defence denying liability. It also raised a preliminary objection asking for the suit to be struck out on the ground it had been prematurely brought without the dispute first being referred to arbitration. The trial Judge overruled the objection because the appellant had not complied with section 6 of the Arbitration Act (TOPIC 49) as it had not applied for a stay of proceedings. Judgment was given in favour of the plaintiff for KShs 64 938 for repairs, KShs 1 080 000 general damages for loss of business, and KShs 60 000 for loss of user.

The appellant appealed on the damages awarded and rejection of the defence based on the arbitration clause.

Held – The arbitration clause was in the nature of a Scott v Avery clause which provides that disputes shall be referred to arbitration and that the award of arbitration is to be a condition precedent to the enforcement of any rights under the contract. A Scott v Avery clause can provide a defence to a claim but the party relying on it cannot circumvent the statutory requirement to apply for a stay of proceedings. If the appellant had wished to invoke the clause, it ought to have applied for a stay of proceedings after entering appearance and before delivering any pleading. By filing a defence, the appellant had lost its right to rely on the clause (Kenindia Assurance v Mutuli [1993] LLR 2833 (CAK) applied.

The award of KShs 60 000 for loss of user was erroneous as there was no provision in the policy for indemnification for this kind of loss and because the appellant was not the tortfeasor or the employer of the person who had actually caused the damage to the vehicle.

The award of KShs 64 938 in respect of repair charges was erroneous as it was consequential loss excepted under the contract of insurance because the vehicle was driven by an unauthorised driver at time of loss.

The award of KShs 1 080 000 general damages for loss of business was compensation for consequential loss which was expressly excluded under the terms of the policy. The claim was one for special damages and had been neither pleaded nor strictly proved as required by law.

Appeal allowed, judgment and decree of High Court set aside, and plaintiff's suit dismissed.



The respondent herein held a burglary policy with the appellant. His premises were burgled, and he lost property of certain value. The appellant failed to compensate him, and he instituted a suit for indemnity. He sought the value of the stolen items and a further sum as special damages for lost income for a period of 41 months. The trial Court held that the respondent held a valid policy of insurance and awarded him the value of indemnity for the stolen items. The trial Court held that the respondent ought to have mitigated his damages and restarted his business within one year. The Court therefore granted an additional sum for lost profit for 12 months.

The appellant was dissatisfied with the award of lost profit, amounting to consequential loss. It appealed, claiming that the insurance policy did not include a cover for consequential loss. The respondent argued that neither did the policy exclude such a loss, and that the loss was a direct result of the failure by the insurer to give prompt compensation.

Held – There is no support in law for the contention that what is not expressly excluded by a contract of insurance is included. The insured in theory is not entitled to make a profit from his loss. While there is nothing to stop the parties agreeing in their contract of insurance that consequential loss will be compensated, an ordinary policy of insurance would not cover such loss unless the parties specifically contract that such loss would be covered. *Corporate Insurance Co Ltd v Wachira [1995-1998] 1 EA 20* considered.

There was no provision in the contract of insurance for payment of interest at 30%, that rate being merely a loan repayment rate on an agreement between the insured and a third party financier. Interest would therefore be payable at Court rates from the date of filing suit until payment in full.

Appeal allowed. Cross-appeal dismissed.

KASEREKA V GATEWAY INSURANCE CO LTD [2003] 2 EA 502

The plaintiff's motor vehicle was involved in an accident with a vehicle insured by the defendant. The plaintiff's vehicle was extensively damaged, and he filed suit against the owner of the other vehicle in the High Court, seeking damages. The suit proceeded to conclusion and the plaintiff was awarded damages.

The plaintiff then filed the present suit against the insurer seeking declaratory orders

under the Insurance (Motor Vehicle Third Party Risks) Act (“the Act”) that the defendant

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was entitled to indemnify the owner of the other vehicle. The defendant filed an application seeking to strike out the plaint for not disclosing a course of action. The defendant contended that material damage was not covered by section 5 of the Act and that only bodily injury or death were covered. The plaintiff's action under section 10 of the Act could not therefore lie. The plaintiff invited the Court to interpret the Act and find that the words "third party risks" included the risk of material damage.

HELD – There was a clear, express and certain intention that the Insurance (Motor Vehicle Third Party Risks) Act made it mandatory for any car user on the road to take a third-party insurance to cover the risks of death and bodily injury as a bare minimum. The liability of material damage or damage to property was not one of the liabilities covered by an insurance policy under paragraph (b) of section 5 of the Insurance (Motor Vehicle Third Party Risks) Act. The duty of an insurer to satisfy a judgment against persons insured under the provisions of section 10(1) of the Act was only confined and restricted to judgments in respect of the death of or bodily injury to the third parties.

GENERAL ACCIDENT INSURANCE CO (K) LTD V MUTUMA [1995–1998] 1 EA 65

The appellant insurance company issued a motor policy to one N in respect of the latter's pick-up which he declared in the proposal form would be used for carrying his own goods. The policy expressly excluded cover in respect of liability to passengers other than those being carried for hire or reward or by reason of or in pursuance of a contract of employment. During the currency of the policy, the Respondent, an employee of N, was injured whilst travelling on the pick-up as a passenger. The Respondent sued N for damages and was awarded a total of KShs 104 943 for general and special damages. The Respondent having failed to recover the damages from N, sued the appellant as the pick-up's insurer under section 10(1) of the Insurance (Motor Vehicles Third Party Risks) Act (TOPIC 405) ("the Act") to satisfy the judgment obtained against N. In his plaint, the Respondent only pleaded that he suffered physical injuries whilst travelling on N's pick-up as a passenger, no reference being made to the fact that he was N's employee at the time. During his evidence, he stated that he was an employee of N at the time of the accident and had loaded miraa on the pick-up shortly before travelling on it as a passenger.

On the basis of this evidence, the trial Judge held that the Respondent was, at the

time of receiving his injuries, travelling on the pick-up “by reason of or in pursuance to a contract of employment” and since both section 5(b)(ii) of the Act as well as the policy provided for cover in respect of liability for injuries to a person who was being carried as a



passenger by reason of or in pursuance of his employment, the appellant was liable to satisfy the judgment obtained against N.

The appellant appealed.

Held – The trial Judge erred in deciding the case on an unpleaded issue. The Respondent's case as pleaded in the court below was that he was a passenger simpliciter. There was no pleading nor evidence to support the trial Judge's finding that he was travelling on the pick-up as a passenger by reason of or in pursuance of a contract of employment.

The mere facts that he was employed by N at the time and that he had loaded miraa on the pick-up before travelling on it as a passenger were not sufficient to establish that he was being carried as a passenger by reason of or in pursuance of a contract of employment.

The words “by reason of . . . a contract of employment” must be read in conjunction with the words “in pursuance of”, and properly construed, mean because the contract of employment expressly or impliedly requires the employee, or gives him the right, to travel as a passenger in the motor vehicle concerned. There was neither pleading nor proof to show that the Respondent's contract of employment required him or gave him the right to travel on the pick-up at the time of the accident.